



Managing in a Global Environment

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Societal environment – STEEP/ PESTEL Analysis



- **Societal environment**- It is mankind's social system that includes general forces that do not directly touch on the short-run activities of the organization that can, and often do, influence its long-run decisions. These factors affect multiple industries and are as follows:
 - **Economic factors:** that regulate the exchange of materials, money, energy, and information.
 - **Technological factors:** that generate problem-solving inventions
 - **Political-legal factors:** that allocate power and provide constraining and protecting laws and regulations.
 - **Socio-cultural factors:** that regulate the values and customs of society.
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Some important variables in Societal Environment:



TABLE 4–1

Some Important Variables in the Societal Environment

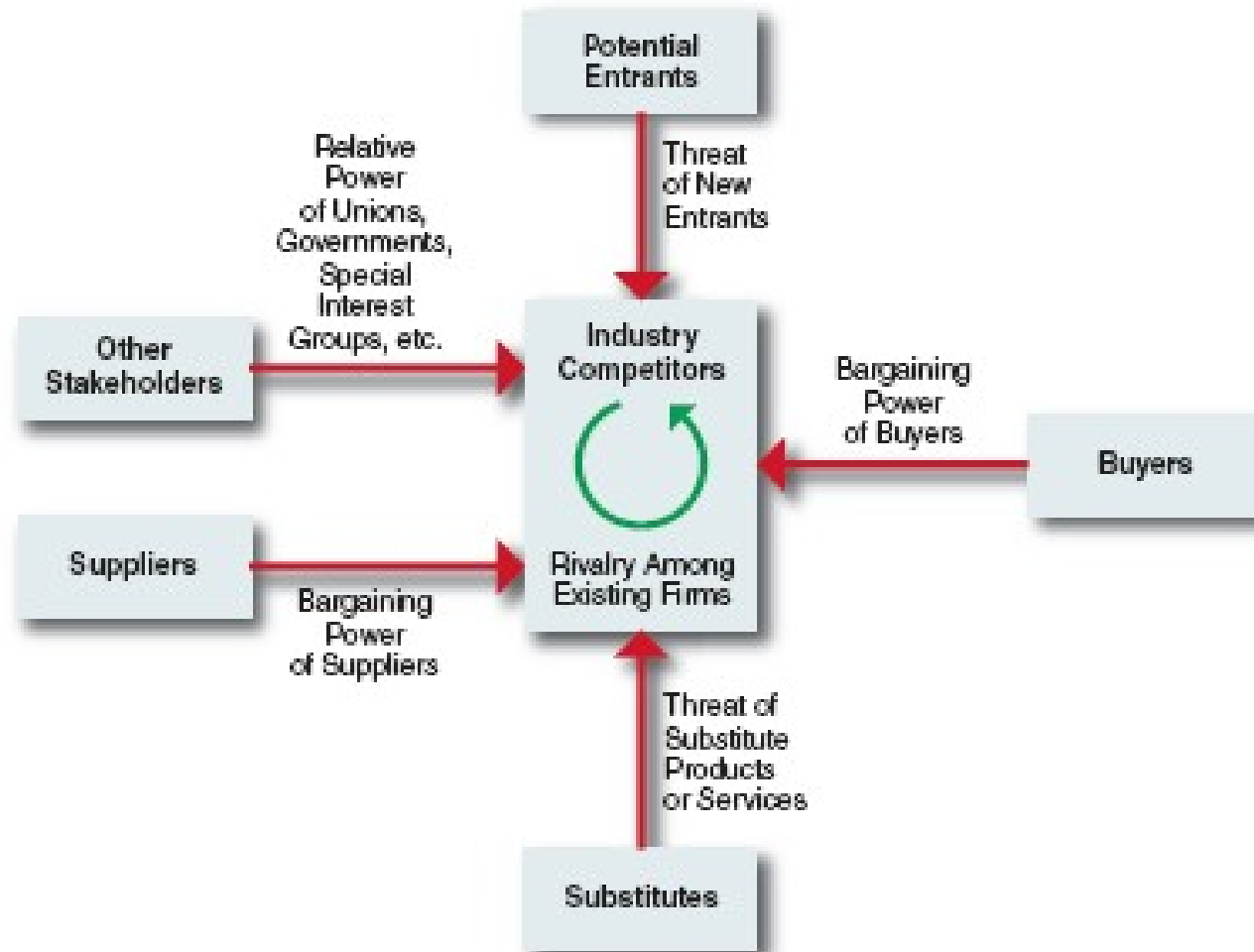
Economic	Technological	Political–Legal	Sociocultural
GDP trends	Total government spending for R&D	Antitrust regulations	Lifestyle changes
Interest rates	Total industry spending for R&D	Environmental protection laws	Career expectations
Money supply	Focus of technological efforts	Global warming legislation	Consumer activism
Inflation rates	Patent protection	Immigration laws	Rate of family formation
Unemployment levels	New products	Tax laws	Growth rate of population
Wage/price controls	New developments in technology transfer from lab to marketplace	Special incentives	Age distribution of population
Devaluation/revaluation	Productivity improvements through automation	Foreign trade regulations	Regional shifts in population
Energy alternatives	Internet availability	Attitudes toward foreign companies	Life expectancies
Energy availability and cost	Telecommunication infrastructure	Laws on hiring and promotion	Birthrates
Disposable and discretionary income	Computer hacking activity	Stability of government	Pension plans
Currency markets		Outsourcing regulation	Health care
Global financial system		Foreign “sweat shops”	Level of education
			Living wage
			Unionization

Industry Analysis:

Porter's 5 Force Analysis



FIGURE 4-3
Forces Driving
Industry
Competition



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How Organizations Go International/Global?

How Organizations Go International/Global



***Global
Investment***



Going Global: Exporting and Importing

- **Exporting:** making products domestically and selling them abroad
 - **Importing:** acquiring products made abroad and selling them domestically
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Going Global: Licensing and Franchising

- **Licensing:** an organization gives another organization the right to make or sell its products using its technology or product specifications
 - **Franchising:** an organization gives another organization the right to use its name and operating methods
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Going Global:

Strategic Alliances and Joint Ventures

- **Strategic Alliance:** partnership between an organization and foreign company partner(s) in which both share resources and knowledge in developing new products or building production facilities
 - **Joint Venture:** A specific type of strategic alliance in which the partners agree to form a separate, independent organization for some business purpose
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Going Global: Foreign Subsidiary

- **Foreign Subsidiary:** directly investing in a foreign country by setting up a separate and independent production facility or office



Thank you
